criticism of the mixed economy even came from within the corridors of power. In a highly publicized 1975 interview, Indira Gandhi's son Sanjay Gandhi described free enterprise as 'the quickest way to grow' and said he believed in removing government controls on industry. [53]

But there was also a great deal of resistance to change. Vested interests—politicians, bureaucrats, even business leaders—dampened the prospects of an overhaul of the license-permit-quota Raj. As a result, the 1980s saw several pro-business, but not exactly pro-market reforms. [54] Rajiv Gandhi's first budget of March 1985 simplified licenses, reduced duties, lifted curbs on company assets, and cut tax rates. This was roundly criticized by the left, and any benefits that industry derived at the top were offset by the droughts of the late 1980s. [55] GDP per capita growth between 1982 and 1992 averaged 3 per cent, more than double the previous decade. But in the words of the economist Arvind Panagariya, the developments of the 1980s were less 'systematic and systemic' than what followed. [56] Fiscal and current account deficits remained high, and the fundamentals of the licence-permit-quota Raj remained intact. Thus, while India may have enjoyed an opportunity between the mid-1960s and late-1980s to embark upon a process of liberalization and integration with the world economy, a combination of politics, ideology, and vested interests prevented that from occurring.

The 1970s and 1980s were, in hindsight, difficult decades for India and its place in the world. International and domestic circumstances meant that India was often on the defensive and constrained. These years saw India having to deal with—but rarely resolve—some contentious problems which would have lasting challenges for a post-Cold War and post-liberalization India. The five major challenges remained the rivalry with Pakistan, difficulties with China, the unresolved question of India's nuclear deterrent and status, a restive neighbourhood, and unrealized economic potential. These would be compounded by terrorism, separatism, and the dissolution of India's closest partner—the Soviet Union. These circumstances presaged several crises in the early 1990s that compelled India to take on—and in some cases finally address—its most pressing challenges.